

Intangible Capital Iceberg

SLIBRARY 05 · SHEET 4 / 5

Process & skill investment hidden below ROI

PROFESSIONAL DEFINITION

The Intangible Capital Iceberg depicts how the visible cost of a technology sits above a much larger submerged investment in intangibles — process redesign, skills, data and organisational change — required to realise its value.

WHO DEVELOPED IT

Drawn from the intangible-capital research of Brynjolfsson, Rock and Syverson and from Corrado, Hulten and Sichel's measurement of intangibles.

WHY IT WAS DEVELOPED

It was developed to explain why AI returns lag: the complementary intangible investment dwarfs the visible technology spend and is often unaccounted for.

FIGURE 1 · INTANGIBLE CAPITAL ICEBERG

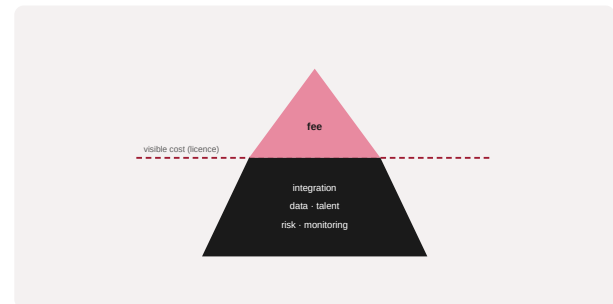


Figure 1. A schematic of the Intangible Capital Iceberg as applied in BARBM312 (illustrative).

HOW IT IS USED

The technology's visible cost is placed above the waterline; the required intangible investment below it is named and budgeted.

WHEN IT IS USED

When building AI business cases and explaining why adoption alone yields little.

BY WHOM IT IS USED

CFOs, transformation leaders and analysts.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It visualises the hidden majority of value-creating investment, countering the assumption that buying the technology is the main cost.

RELATED FRAMEWORKS IN THIS COURSE

Productivity J-Curve · Slibrary 5

Solow Paradox Revisited · Slibrary 5

Adoption → Impact Lag · Slibrary 5

Diffusion S-Curve · Slibrary 5

SOURCES (HARVARD REFERENCING STYLE)

Corrado, C., Hulten, C. and Sichel, D. (2009) 'Intangible capital and U.S. economic growth', *Review of Income and Wealth*, 55(3).
Brynjolfsson, E., Rock, D. and Syverson, C. (2021) 'The Productivity J-Curve', *AJES: Macro*, 13(1).